# Watch list summary

2026-10-27 16:27 CET. Claude's notes updated 2026-10-27.

## 1. Summary

> **All three watch list stocks are within about 10% of their entry prices. Booking is closest and has the strongest balance sheet; Boston Scientific reports tomorrow (Oct 28); Netflix needs a full analysis before its target is firm.**

- **BSX** $45.03: 7% above its entry price of $41.73.
- **BKNG** $152.09: 5% above its entry price of $144.15.
- **NFLX** $62.85: 7% above its entry price of $58.40.

## 2. The numbers

| Stock | Price | Adjusted P/E | 10-yr median | Target | Entry price | Entry vs price | Next report |
|---|---|---|---|---|---|---|---|
| **BSX** | $45.03 | 14.0x | 25.2x | 13x | $41.73 | -7.3% | 2026-10-28 |
| **BKNG** | $152.09 | 15.8x | 21.2x | 15x | $144.15 | -5.2% | 2026-11-03 |
| **NFLX** | $62.85 | 21.5x | 61.3x | 20x | $58.40 | -7.1% | 2027-01-19 |

Entry price = target multiple x trailing 12-month adjusted EPS. A negative "entry vs price" means the entry price is below today's price.

## 3. Analysis

Each stock's verdict and key points follow. The entry prices are proposals until Babak confirms the target multiples (13x BSX, 15x BKNG, 20x NFLX).

### Boston Scientific Corporation (BSX)

> **A strong, profitable business whose stock has halved because growth slowed sharply. Cheap against its own history and its peers, but debt is its weak spot. View: wait for the Q3 results on Oct 28, then buy at around $42 (13x adjusted earnings).**

- **Cheap:** the lowest valuation in a decade, and cheaper than most medical-device peers.
- **Strong:** the best profitability and cash generation in its peer group.
- **Weak:** little cash against its debt, with more debt coming from the Penumbra deal.
- **Uncertain:** growth has fallen from about 16% to about 5%, and it is not yet clear how much of that is temporary.

### Booking Holdings Inc. (BKNG)

> **The strongest balance sheet and biggest cash generator in online travel, the cheapest it has been in a decade, sold off on fears that AI agents will bypass it. View: start a position now and add below about $145 (15x adjusted earnings).**

- **Cheap:** about 16x adjusted earnings, against a 10-year norm of about 21x.
- **Strong:** passes every strict debt rule and generates about $9.5bn of free cash flow a year.
- **Weak:** negative shareholders' equity because of buybacks.
- **Uncertain:** room-night growth is slowing, and AI agents and regulators are open risks.

### Netflix, Inc. (NFLX)

> **The leading streaming business, now at its lowest valuation in a decade after a run of soft guidance, while adjusted earnings still grow about 15% a year. View: a first look, not a full analysis yet. The proposed entry is 20x adjusted earnings, about $58.**

- **Cheap:** about 22x adjusted earnings, against a 5-year median of about 34x.
- **Strong:** large and growing free cash flow (about $12bn guided for 2026) and modest debt.
- **Weak:** guidance has disappointed three quarters running, and the advertising business is behind plan.
- **Uncertain:** how much of the slowdown is lasting, and what the new content chief and job cuts change.

Each stock's full analysis is in its own PDF from the same run.